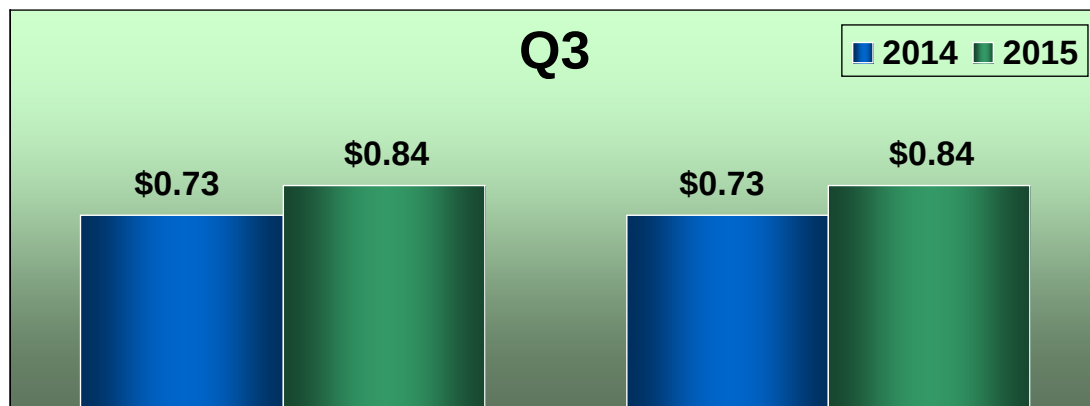




Third Quarter 2015 Earnings Release Presentation

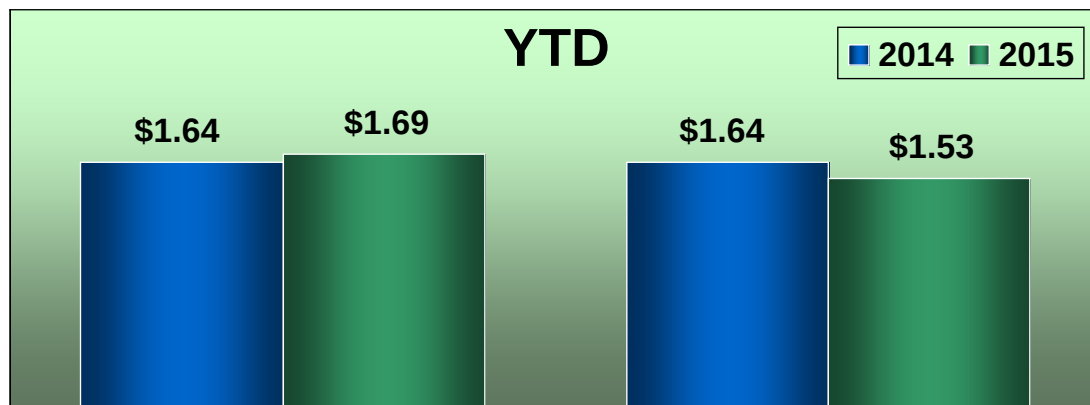
October 29, 2015

EPS Results



Ongoing EPS

GAAP EPS



Ongoing EPS

GAAP EPS

YTD 2015 ongoing earnings exclude a charge of \$0.16 per share related to the Monticello extended power uprate (EPU) project

2015 YTD Highlights

- **Narrowed 2015 ongoing EPS guidance to \$2.05 to \$2.15 from \$2.00 to \$2.15**
- **Introduced 2016 ongoing EPS guidance of \$2.12 to \$2.27**
- **Increased dividend 6.7%, while increasing annual growth objective to 5% - 7%**
- **Resolved major regulatory proceedings in CO, MN, and SD**
- **Favorable legislation passed in MN and TX**
- **Purchased the Courtenay 200 MW wind farm project**
- **O&M on track with annual guidance of a 0% - 2% increase for 2015**
- **Elimination of equity for DRIP/benefits programs (\$75 million annually)**
- **Filed revised Minnesota resource plan, which reduces carbon by 60% by 2030**

EPS guidance assumes constructive regulatory outcomes

Xcel Energy Strategic Plan

Objectives

**Improve Utility
Performance**



**Drive Operational
Excellence**



**Provide Customer
Options & Solutions**



Invest for the Future



Measurable Results

- Close ROE gap 50 bps by 2018
- Derive 75% of revenue from MYPs

- Manage workforce transition
- Limit annual O&M growth to 0-2%

- Offer more energy options
- Exceed customer expectations

- Base capital plan drives annual rate base growth of 4.7%
- Potential incremental investment in natural gas and transmission

Minnesota Resource Plan

- Reduces carbon emissions by 60% by 2030 from 2005 levels
- Results in 63% of NSP system energy being carbon-free by 2030
- Key provisions:
 - Addition of 800 MW of wind & 400 MW of solar (by 2020)
 - Addition of 1,000 MW of wind & 1,000 MW of solar (2020-2030)
 - Retirement of Sherco Unit 2 (2023) & Sherco Unit 1 (2026)
 - New 230 MW of natural gas CT in North Dakota by 2025
 - New 780 MW combined cycle unit at Sherco by 2026
 - Operation of nuclear plants through early 2030s

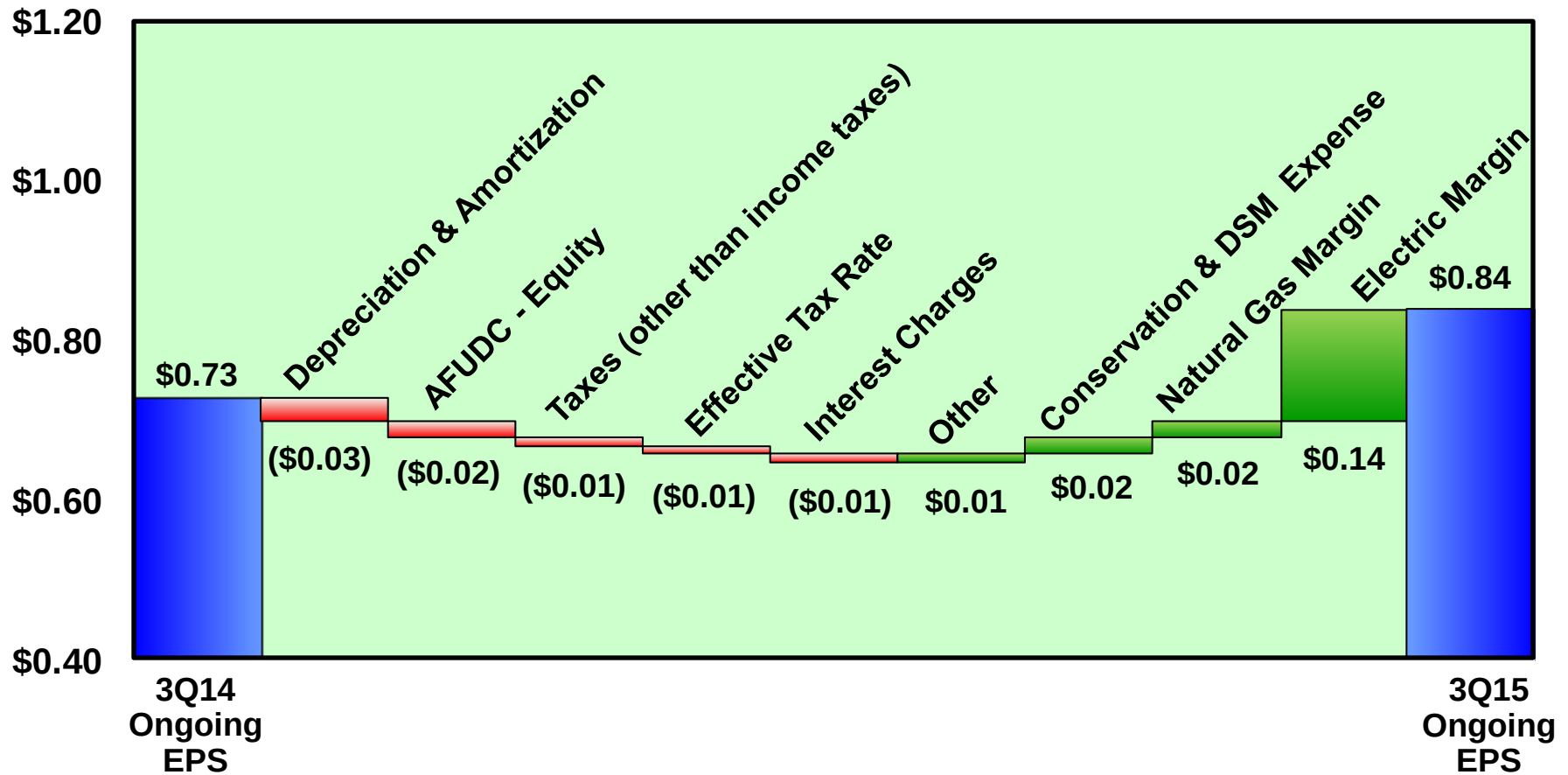
Minnesota Rate Case

- **Filing early November**
- **Seeking 3-year multi-year rate plan (MYP)**
- **Option to extend MYP to 5 years**
- **Includes offer of mediation**
- **Requests interim rates for 2016 and 2017**

Potential Natural Gas Investment

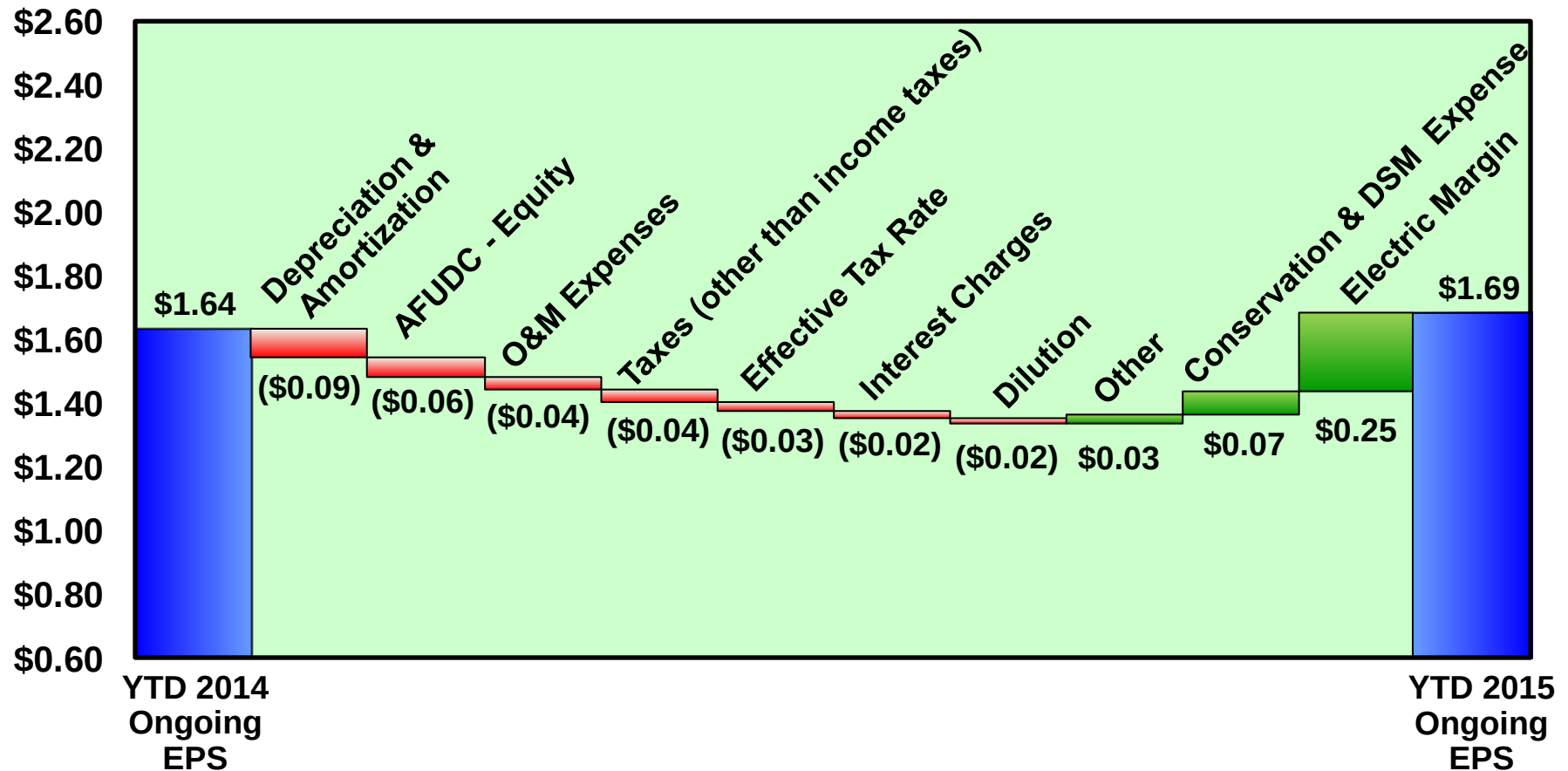
- Colorado Commission information meetings in August & September
- Regulatory framework filing planned for 2015 Q4
- File for potential investment in second half of 2016

Quarterly Ongoing EPS Change



The \$0.03 favorable impact of weather is incorporated in the electric and natural gas margins

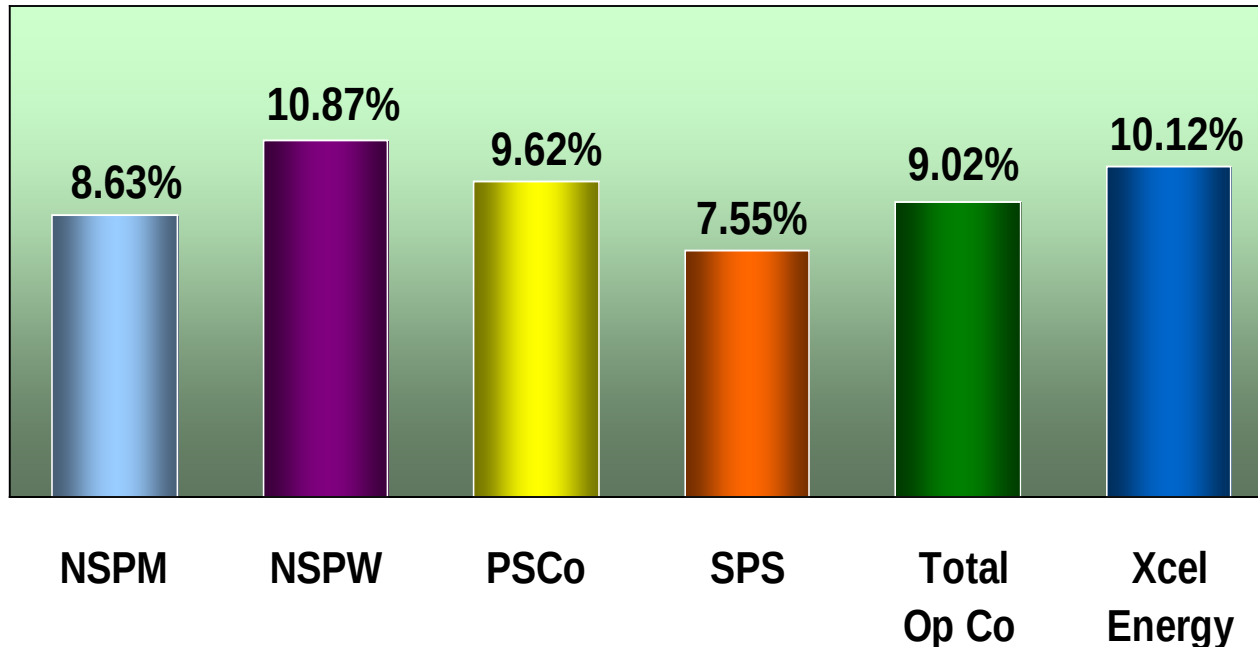
YTD Ongoing EPS Change



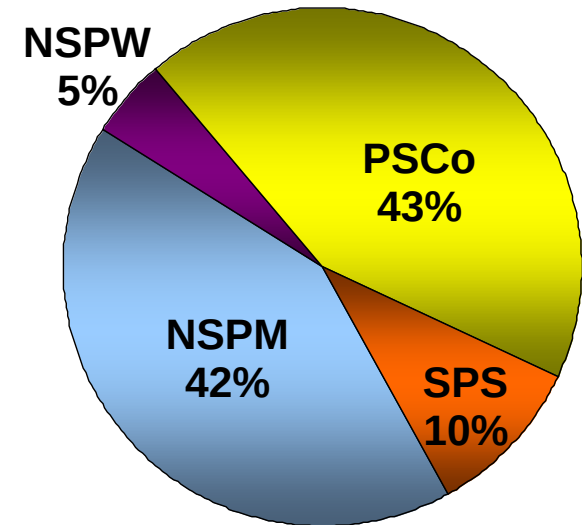
The \$0.04 adverse impact of weather is incorporated in the electric and natural gas margins

ROE Results – Ongoing Earnings

Ongoing ROE - Twelve Months Ended 09/30/2015



2014 Rate Base



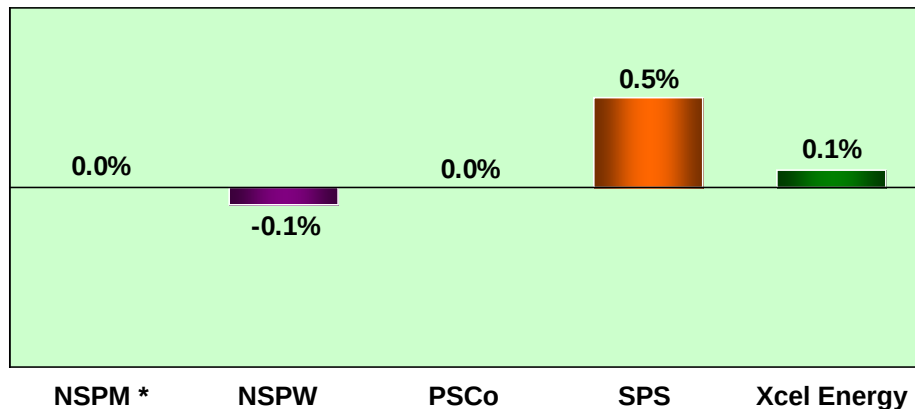
- Ongoing earnings exclude a \$129 million pre-tax charge for the Monticello EPU project
- GAAP ROEs: NSPM = 7.16%; NSPW = 10.46%; Total Op Co = 8.42%; Xcel Energy = 9.39%

EPS Results by Operating Company

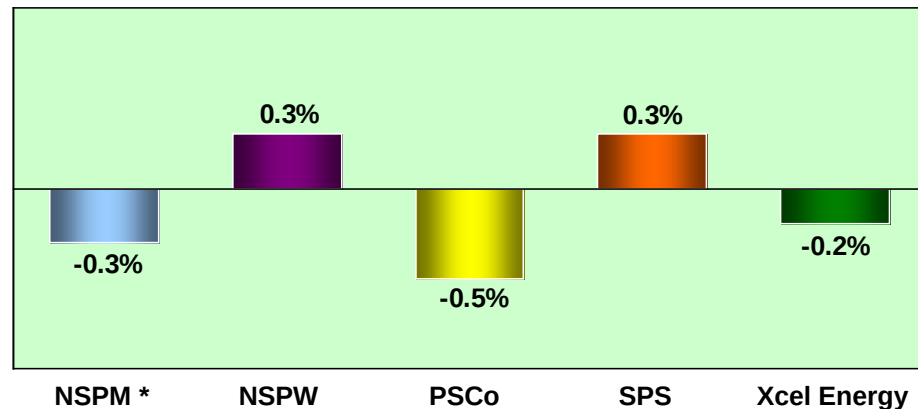
	<u>Third Quarter</u>		<u>YTD</u>	
	<u>2015</u>	<u>2014</u>	<u>2015</u>	<u>2014</u>
PSCo	\$ 0.34	\$ 0.30	\$ 0.75	\$ 0.72
NSP-Minnesota	0.35	0.27	0.65	0.63
SPS	0.12	0.13	0.21	0.23
NSP-Wisconsin	0.05	0.04	0.13	0.11
Equity earnings	0.01	0.01	0.03	0.03
Regulated utility	0.87	0.75	1.77	1.72
Holding company and other	(0.03)	(0.02)	(0.08)	(0.08)
Total Ongoing diluted EPS	\$ 0.84	\$ 0.73	\$ 1.69	\$ 1.64
Loss on Monticello LCM/EPU Project	-	-	(0.16)	-
Total GAAP diluted EPS	\$ 0.84	\$ 0.73	\$ 1.53	\$ 1.64

Economic, Sales & Customer Data

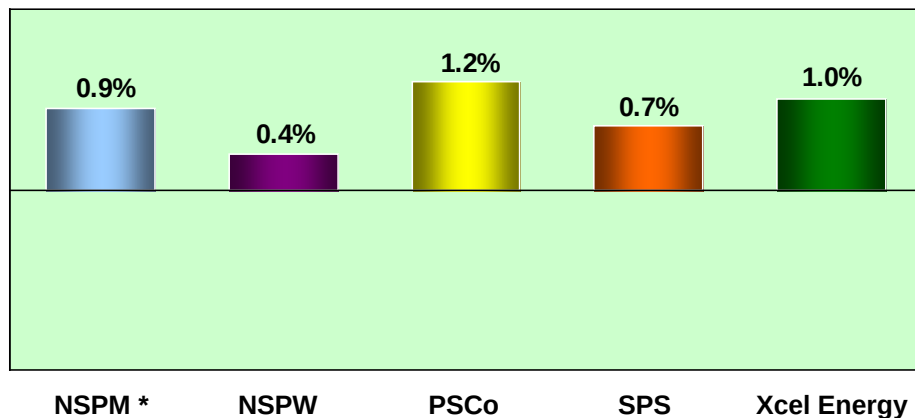
2015 Q3 W/A Electric Sales Growth



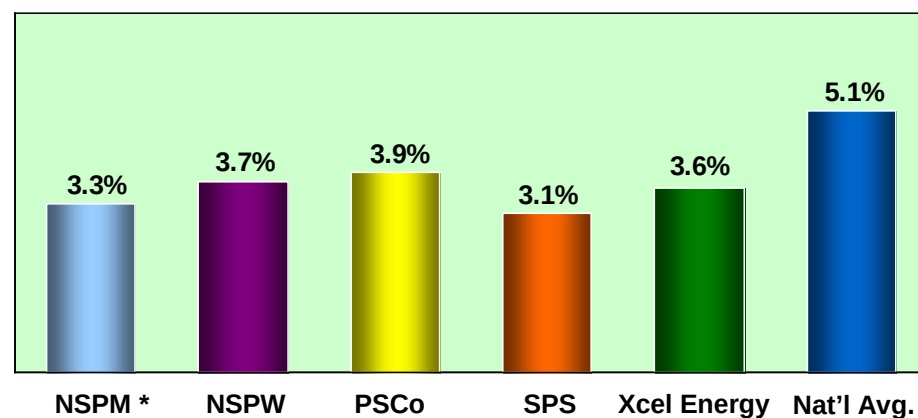
2015 YTD W/A Electric Sales Growth



2015 Q3 YoY Electric Customer Growth



September Unemployment



** Pilot 3-year decoupling for residential and small C&I beginning January 2016*

Xcel Energy W/A Electric Sales Growth



YTD = Nine months ended September 30, 2015

2015 Ongoing Earnings Guidance

Ongoing EPS Guidance Range: \$2.05 – \$2.15

	<i>Key Assumption Changes</i>	
Earnings Driver	<i>Previous</i>	<i>Current</i>
W/A Electric Sales	<i>Increase 0.5%</i>	Relatively flat
Capital Rider Revenue	<i>Increase \$155-\$165 million</i>	Increase \$150-\$160 million
Depreciation*	<i>Increase \$130-\$150 million</i>	Increase \$110-\$120 million
Property Taxes	<i>Increase \$60-\$70 million</i>	Increase \$50-\$60 million

** Depreciation change reflects an adjustment for eliminations, which does not impact EPS*

	<i>Sensitivities</i>	
Earnings Driver	<i>Sensitivity</i>	<i>EPS</i>
Retail Electric Sales	100 bps	+/- \$0.04
O&M Expense	100 bps	+/- \$0.03

Assumes a 35% ETR and 508 million shares outstanding

2016 Ongoing Earnings Guidance

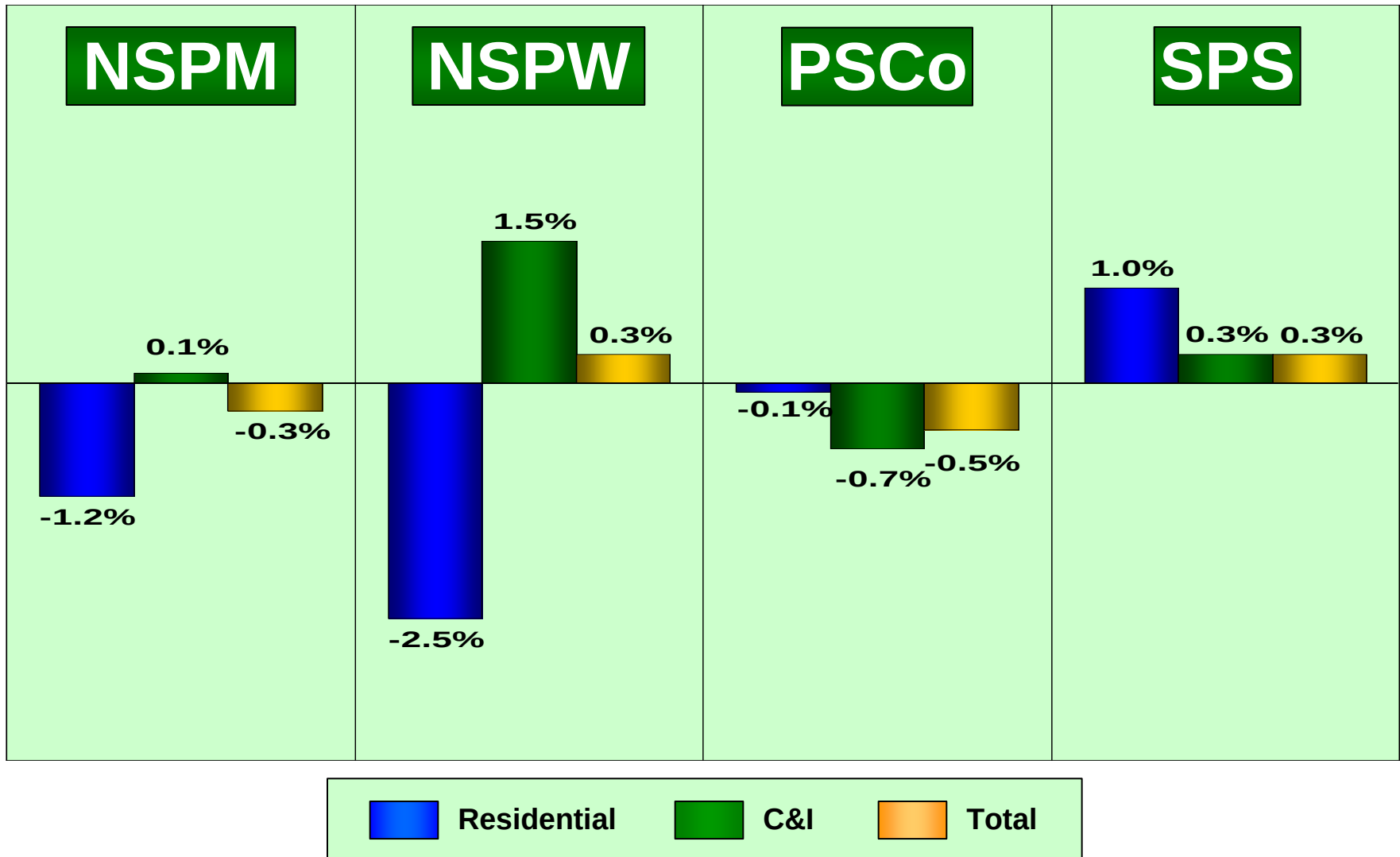
2016 Ongoing EPS Guidance of \$2.12 to \$2.27

Key Assumptions

- Constructive outcomes in all rate case & regulatory proceedings, including implementation of interim rates in MN consistent with historical precedent
- Normal weather throughout the year
- Weather-adjusted retail electric sales growth of approximately 0.5%-1.0%
- Weather-adjusted retail firm natural gas sales to be relatively flat
- Capital rider revenue projected to increase \$70-\$80 million
- O&M expenses projected to increase 0%-2%
- Depreciation expense projected to increase approximately \$200 million
- Property taxes projected to increase approximately \$40-\$50 million
- Interest expense projected to increase approximately \$40-\$50 million
- AFUDC-Equity projected to decrease approximately \$5-\$10 million
- Effective tax rate projected to be 34%-36%
- Average CSE projected to be approximately 509 million shares

Appendix

YTD W/A Electric Sales Growth



Operating Company ROE Sensitivities

Op Co	Jurisdiction	2014 Rate Base (\$ millions)	Sensitivity to 100 bps change in ROE	
			Revenue Requirement (\$ millions)	EPS
NSPM	MN Electric	\$7,047	\$57	+/- \$0.073
	MN Gas	\$453	\$4	+/- \$0.005
	ND Electric	\$454	\$4	+/- \$0.005
	ND Gas	\$48	\$0	+/- \$0.000
	SD Electric	\$474	\$4	+/- \$0.005
PSCo	CO Electric	\$6,277	\$55	+/- \$0.070
	CO Gas	\$1,661	\$14	+/- \$0.018
SPS	TX Electric	\$1,507	\$13	+/- \$0.016
	NM Electric	\$587	\$5	+/- \$0.006
NSPW	WI Electric	\$906	\$7	+/- \$0.010
	WI Gas	\$98	\$1	+/- \$0.001

- Assumes authorized equity ratio, a 35% ETR, and 508 million shares outstanding
- Rate base figures obtained from our jurisdictional regulatory filings

Financing Completed in 2015

Issuer	Security	Amount (millions)	Timing	Tenor	Coupon
Hold Co	Senior Unsecured	\$250	Completed	2 Yr	1.20%
Hold Co	Senior Unsecured	\$250	Completed	10 Yr	3.30%
PSCo	First Mortgage Bonds	\$250	Completed	10 Yr	2.90%
NSPW	First Mortgage Bonds	\$100	Completed	9 Yr	3.30%
NSPM	First Mortgage Bonds	\$300	Completed	5 Yr	2.20%
NSPM	First Mortgage Bonds	\$300	Completed	30 Yr	4.00%
SPS	First Mortgage Bonds	\$200	Completed	9 Yr	3.30%

Financing Plan for 2016

Issuer	Security	Amount
Hold Co	Senior Unsecured	\$600 million
NSPM	First Mortgage Bonds	\$250 million
SPS	First Mortgage Bonds	\$350 million

Financing plans are subject to change, depending on capital expenditures, internal cash generation, rating agency views, market conditions, and other factors

Upcoming 2015 Fourth Quarter Events

- **EEI Financial Conference: Nov. 8-11**
- **Xcel Energy Analyst Day: Dec. 3**
- **Wells Fargo Conference: Dec. 9**
- **Barclays Conference: Dec. 15-16**